

M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 22 August 2016 · Writ-C No. 51844 of 2009 · **Writ dismissed as infructuous after interim restraint on additional security**

HEADNOTE

The consumer challenged a 20.4.2009 demand for additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. On 7.10.2009 a Division Bench listed the writ with similar 2009 matters and, following an interim order in Writ Petition No. 30582 of 2009 (M/s Vehlana Steels), restrained the licensee from demanding additional security until further orders, without prejudice. On 22.8.2016, counsel stating the petition had become infructuous by lapse of time, another Division Bench dismissed it as infructuous. Clause 4.20 was not construed.

FACTUAL SUMMARY

M/s Supreme Ceramics Limited sought quashing of a 20 April 2009 demand notice of Paschimanchal Vidyut Vitran Nigam Ltd. for additional security under paragraph 4.20 of the U.P. Electricity Supply Code, 2005. Counsel relied on a similar pending writ, Writ Petition No. 30582 of 2009 (M/s Vehlana Steels & Alloys Pvt. Ltd.), in which an interim order had been passed. The licensee accepted that identical questions arose in several 2009 matters. Years later the petition was said to have become infructuous by lapse of time.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security demand

HOLDING

Without deciding whether additional security could be demanded under clause 4.20, the Court listed the writ with similar 2009 matters and restrained the licensee from demanding additional security until further orders, following an interim order in Writ Petition No. 30582 of 2009 and without prejudice to the parties' rights. On the consumer's later statement that the petition had become infructuous by lapse of time, the writ was dismissed as infructuous. ¶ 1-2

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER ADDITIONAL SECURITY COULD BE DEMANDED UNDER CLAUSE 4.20 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, AND WHETHER THE 20.4.2009 DEMAND NOTICE WAS VALID

The 2009 order granted only a without-prejudice interim restraint; the 2016 order dismissed the writ as infructuous without construing clause 4.20. ¶ 1-2